

as regards *priority*; and, *Thirdly*. What *interest* is to be allowed.

First. What debts are within the scope of the trust.

1. **Debts to be paid are *primâ facie* those at date of deed or death of testator.**—If the trust be created by *deed*, then, unless a contrary intention be expressed, the debts only at the *date* of the deed will be intended (*a*); but if the provision be contained in a will, the direction will include all debts at the testator's death; unless he specially restrict his meaning to the debts at the making of his *will* (*b*).

2. **"Debts affecting the estate."**—Where a settlor by deed conveyed all his real and personal property upon trust to pay "all debts then owing by him, and which *affected the estates* thereby conveyed;" the trust, as the settlor had no *judgment* debts at the time, was extended to *bond* debts, but not to *simple contract* debts (*c*). But this distinction was taken upon a deed dated before the Acts making real estates assets for payment of simple contract debts.

(a) *Purefoy v. Purefoy*, 1 Vern. 28.

(c) *Douglas v. Allen*, 1 Conn. &

(b) *Loddington v. Kime*, 3 Lev. 433. Laws. 367; 2 Dru. & War. 213.

not cestuis que trust. If creditors acquiesce in a trust in a will, so directing, the executors will become trustees to settle the estate; *Bank of U. S. v. Beverly*, 1 How. 134; *Gardner v. Gardner*, 3 Mason, 178. Payment from personalty shall be first made, and this includes the cancelling of any mortgages existing on the realty; *Hewes v. Dehon*, 3 Gray, 205; *Seaver v. Lewis*, 14 Mass. 83; *Adams v. Brackett*, 5 Met. 280; *Schermerhorn v. Barhydt*, 9 Paige, 29; *Hancock v. Minot*, 8 Pick. 29; *Marsh v. Marsh*, 10 B. Mon. 360; *Leavitt v. Wooster*, 14 N. H. 551. If, however, real estate is purchased subject to a mortgage, it will not be paid off unless a clear intention appears; *Cumberland v. Codrington*, 3 Johns. Ch. 229; *Andrews v. Bishop*, 5 Allen, 490. If personal property is insufficient any real estate specially indicated by the testator for the payment of debts, will come next, as there is a difference between a general and a special charge for debts; *Martin v. Fry*, 17 Serg. & R. 426. Then came lands naturally going to heirs, no indication having been expressed regarding its disposition; *Livingston v. Livingston*, 3 Johns. Ch. 148; *Commonwealth v. Shelby*, 13 Serg. & R. 348; *Robards v. Wortham*, 2 Dev. Eq. 173.

Finally, if necessary, debts will be paid out of specifically devised realty; *Ruston v. Ruston*, 2 Yeates, 54; *Chase v. Lockerman*, 11 G. & J. 186. No deviation from this will be made unless it is the manifest, if not the express, intention of the testator; *Plimpton v. Fuller*, 11 Allen, 140; *Livingston v. Newkirk*, 3 Johns. Ch. 312; *Stroud v. Barnett*, 3 Dana, 394; *Blaney v. Blaney* 1 Cush. 107.